

Seminar 8 — Mechanisms and Diffusion in Digital Governance

IR227 Politics of Change

July 2026

What you'll do in 90 minutes

[Bridge to seminar] *Take your assigned digital-governance case. Identify which institutional-change mechanism best characterises its recent trajectory. Apply the Brussels-effect conditions. Then a brief reflection: what does this case tell us about the AI-governance challenge in Lecture 11?*

- Six cases, three pairs.
- Each group: 3–4 students, one case.
- Mechanism identification, diffusion assessment, AI reflection, plenary.

Three methodological points up front

1. Mechanism identification requires specifying *what* rule, *what* environment, *how* the relationship has changed. Vague answers don't qualify. (Hacker et al. 2015; Streeck and Kathleen 2005)
2. The Brussels-effect mechanism has five conditions, not one. Market size is necessary but not sufficient. (Bradford 2020)
3. Industry is a variable, not just an opponent. Some firms benefit from regulation.

Six cases, three pairs

Pair archetype	Case A	Case B
Foundational paradigm	USA permissionless innovation	EU precautionary regulation
State-led developmental	China digital governance	India Aadhaar
Diffusion outcomes	GDPR diffusion	AI Act diffusion

Within each pair: same archetype, different mechanism, different diffusion outcome. (Bradford 2020; OECD 2024; Streeck and Kathleen 2005)

Recap: institutional-change mechanisms

Framework: The five mechanisms

Drift. Rules unchanged, environment changes; outcomes diverge.

Conversion. Rules unchanged in form, redirected to new purposes.

Layering. New rules added on top of old without dismantling.

Displacement. Old institutions actively replaced by new ones.

Exhaustion. Institutions wither without intentional replacement.

Drift, conversion, and layering predominate. Displacement is rare. Exhaustion is occasional. (Hacker et al. 2015; Streeck and Kathleen 2005)

Recap: the Brussels-effect conditions

Framework: Five conditions for the Brussels effect

1. Market size.
2. Regulatory capacity.
3. Stringent standards.
4. Inelastic targets.
5. Non-divisibility.

De facto vs de jure diffusion. Bendiek-Stürzer refinement: internal EU consensus and decision-making structure shape diffusion credibility. (Bendiek and Stuerzer 2023; Bradford 2020)

Recap: weaponized interdependence

- Counter-mechanism to the Brussels effect. (Farrell and Newman 2019)
- States at network choke-points can coerce compliance from network members.
- Examples: SWIFT, undersea cables, semiconductor supply chains, cloud infrastructure.
- Brussels effect = voluntary firm decisions; weaponized interdependence = coercive choke-point control.
- Both shape global digital governance.

Phase 1 — mechanism and diffusion assessment (20 min, no laptops)

1. Identify which mechanism (drift, conversion, layering, displacement, exhaustion) best characterises your case's recent trajectory. Name the rule, the environment, and the change in their relationship.
2. For each of the five Brussels-effect conditions (market size, regulatory capacity, stringent standards, inelastic targets, non-divisibility), identify whether it is present, partially present, or absent.
3. Reach a diffusion verdict: is the case's regulatory model diffusing?

Output: a mechanism identification with evidence, a five-condition assessment, and a diffusion verdict — something you can defend and will report to the class.

Phase 2 — draft your briefing (15 min, Claude allowed)

Case: The diagnostic memo

- One paragraph: mechanism-and-diffusion memo. Mechanism identification, five-condition Brussels-effect assessment, diffusion verdict.
- Two-to-three sentences: AI reflection. What specific implication does this case have for the AI-governance challenge in Lecture 11?

Be specific. “Useful for thinking about AI” is not a reflection.

Phase 3 — exchange briefings (5 min)

- Swap your written briefing with your comparative-case group (same pair archetype, paired case).
- Read their mechanism identification, Brussels-effect assessment, and diffusion verdict.
- Note one point of contrast to raise in the plenary: same archetype — why does the verdict differ?

Phase 4 — present (5 min per group)

Each group presents its own mechanism-and-diffusion verdict, then names the contrast with its comparative case.

- Foundational paradigm: USA vs. EU — same technology, different mechanisms. Why?
- State-led developmental: China vs. India — different state-led models, different conversion targets. Why?
- Diffusion outcomes: GDPR vs. AI Act — same mechanism, different diffusion outcomes. Why?

Three things to take away

1. Drift, conversion, and layering predominate across digital-governance cases. The mechanism typology is a diagnostic for AI governance. (Hacker et al. 2015; Streeck and Kathleen 2005)
2. The Brussels-effect mechanism specifies why and when diffusion happens but does not exhaust the diffusion landscape. Weaponized interdependence operates alongside it. (Bradford 2020; Farrell and Newman 2019)
3. Fragmentation across multiple regulatory paradigms is more likely than convergence — for digital governance now and AI governance going forward.

Tomorrow: the climate transition — where the conditions checklist is least favourable.

- Bendiek, A. and I. Stuerzer (2023). **“The Brussels Effect, European Regulatory Power and Political Capital: Evidence for Mutually Reinforcing Internal and External Dimensions of the Brussels Effect from the European Digital Policy Debate”**. In: *Digital Society* 2.1, p. 5.
- Bradford, A. (Feb. 2020). **“The Brussels Effect”**. In: *The Brussels Effect: How the European Union Rules the World*. Oxford University Press.
- Farrell, H. and A. L. Newman (July 2019). **“Weaponized Interdependence: How Global Economic Networks Shape State Coercion”**. In: *International Security* 44.1, pp. 42–79.

- Hacker, J. S., P. Pierson, and K. Thelen (2015). **“Drift and conversion: hidden faces of institutional change”**. In: *Advances in Comparative-Historical Analysis*. Ed. by J. Mahoney and K. Thelen. Strategies for Social Inquiry. Cambridge University Press, pp. 180–208.
- OECD (2024). **OECD Digital Economy Outlook 2024 (Volume 2): Strengthening Connectivity, Innovation and Trust**. Paris: OECD Publishing.
- Streeck, W. and T. Kathleen (2005). **“Introduction: Institutional Change in Advanced Political Economies”**. eng. In: *Beyond Continuity*. Oxford: Oxford University Press, pp. 1–39.